

QUALITATIVE CHARACTERISTICS OF FINANCIAL INFORMATION AND ACCOUNTING CONCEPTS

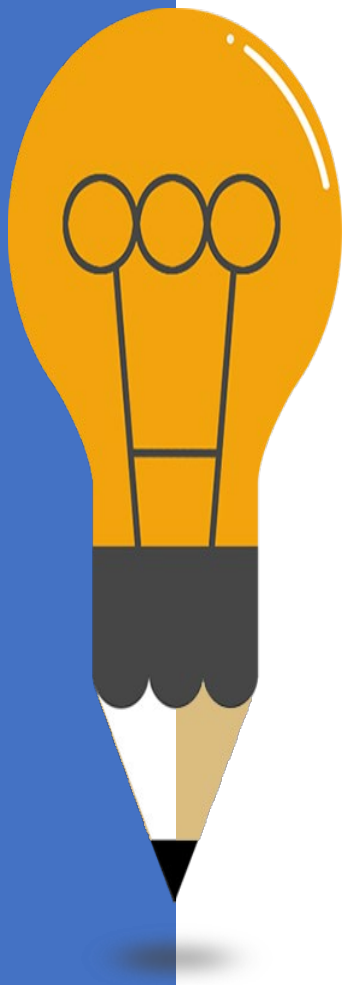
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LEARNING OBJECTIVES



Students should be able to:

01 Explain the qualitative characteristics of useful financial information

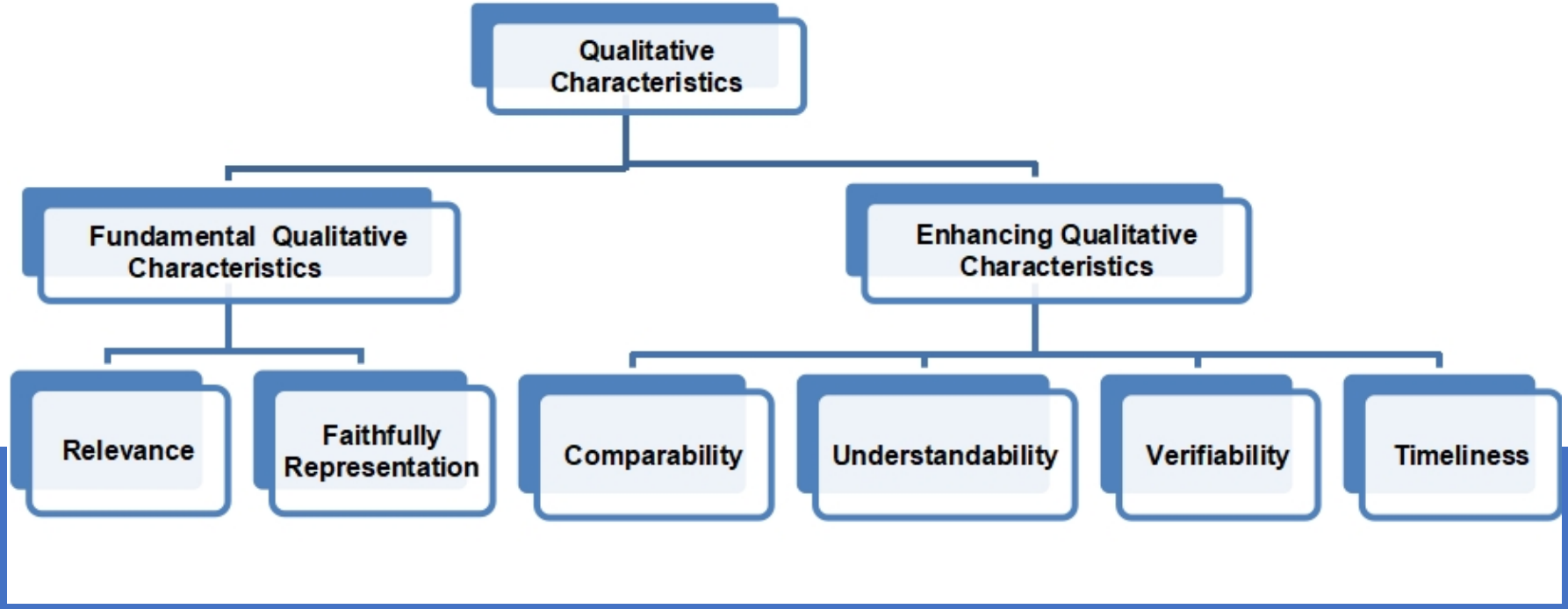
02 Explain the accounting assumptions and concepts

What are the qualitative characteristics of financial information?

> Qualitative characteristics of financial statements are attributes that enhance the meaningfulness of information provided in financial statements to their users. It can be sub-divided into fundamental characteristic and enhancing characteristics



Qualitative Characteristics of Useful Financial Information



Fundamental Characteristics

RELEVANCE

The information is relevant if it can influence the economic decisions of users by helping them evaluate past, present or future events or confirming, or correcting their past evaluations.

FAITHFULLY REPRESENTATION

The information must be complete, neutral, and free from material error.

Enhancing Characteristics

COMPARABILITY

The information can help users see similarities and differences between events and conditions and trends in the financial position and performance of the business

UNDERSTANDABILITY

The information helps users to understand the information within the context of the decision being made

Enhancing Characteristics

VERIFIABILITY

The information has consensus among different measurers. If information is verified, this provides assurance to the users that it is both credible and reliable.

TIMELINESS

Information is timely when it is available to users early enough to allow them to use it in their decision process.



TAKE A BREAK

What is accounting concepts and principle?

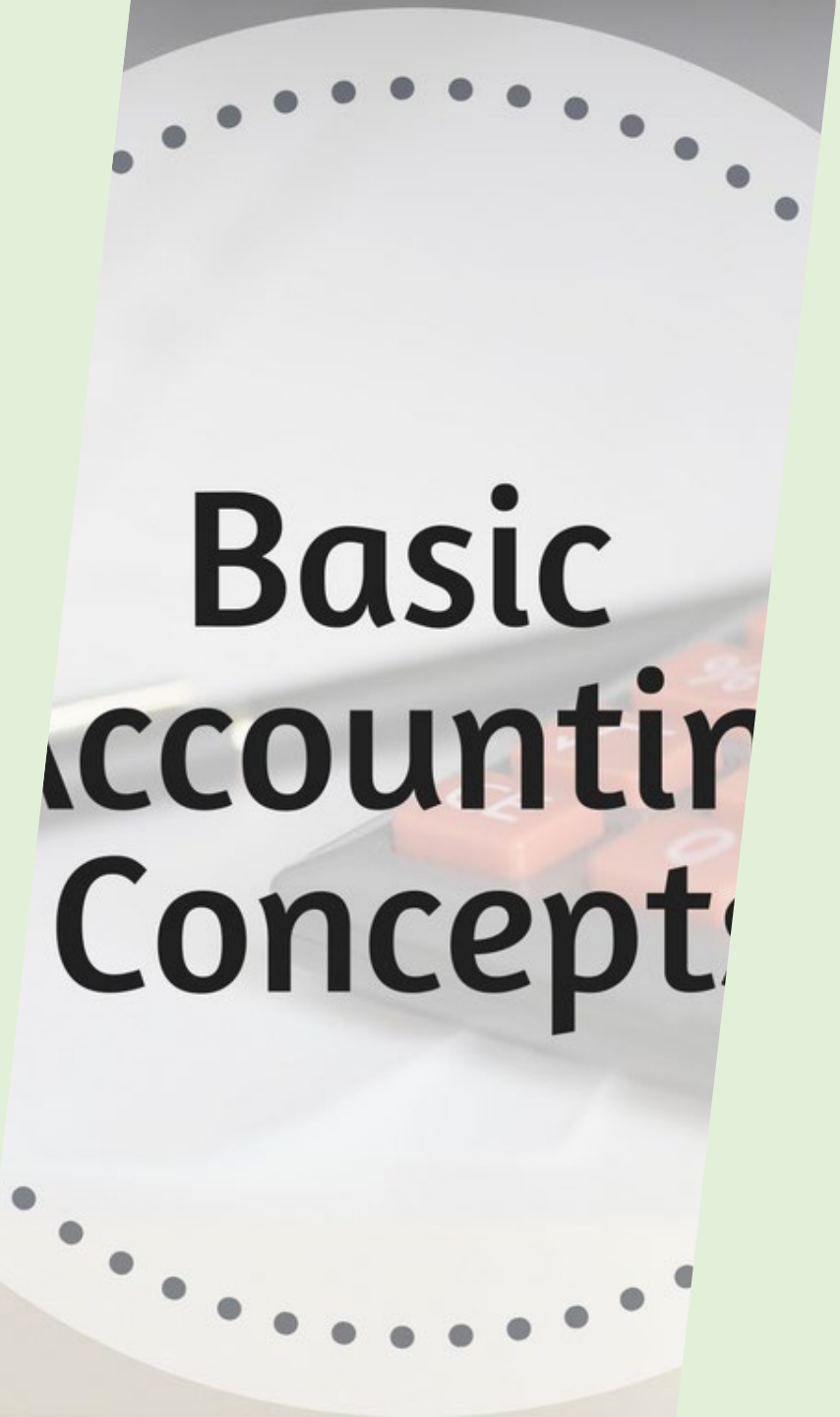
“Accounting principles or concepts refer to rules that must be followed in the preparation of financial statements to ensure subjectivity. These concepts consists of conventions, bases and policy consideration.”





Introduction

- Conventions are also called assumptions, which refer to general understanding or generally accepted ideas, for example the economic entity principle.
- While accounting base or basis is another important principle that helps further in recording process. An example of accounting basis is accrual basis.
- Finally, policy consideration deal with the adoption of a certain accounting method or basis and the consistent application of that method or basis, for example the use of straight-line method in the calculation of depreciation



Accounting Concepts

- **Economic entity/ Business Entity**
- **Going Concern**
- **Monetary/Money Measurement**
- **Periodicity**
- **Cost**
- **Consistency**
- **Accruals**
- **Materiality**
- **Neutrality**
- **Comparability**

Economic Entity / Business Entity

- Definition:
  - This concept assumes that a business and its owner(s) are two separate existence entity.
  - Thus, the item recorded in the business's books are limited to transactions affecting the business only.
  - The transactions or assets of its owner or another business should not be included in the records of the business.

Economic Entity / Business Entity (cont.)

- Examples:
  - The owner's personal asset should not be included in the asset's account of the business.
  - Rental paid for the owner's house should be excluded from the expenses account of the business.
  - However, any payments for the owner's personal expenses by the business will be treated as drawings and reduced the owner's capital contribution in the business.

Going Concern

- Definition:
  - This concept assumes that a business will continue to operate in the foreseeable future and will have a long life that will last long enough to fulfill its objectives and commitments.
  - Financial statements should be prepared on a going concern basis unless management either intends to liquidate the business or to cease its trading.

Monetary/Money Measurement

- Definition:
  - It assumes that the measurement unit used in the transactions of business are recorded in terms of money, e.g. ringgit Malaysia (RM)
  - It provides an appropriate basis for accounting measurement and analysis

- Example:
  - The sale of goods to customer should be recorded in the amount of RM in the books of business.

Periodicity

- Definition:
  - It assumes that the economic activities of a business can be divided into regular time periods, namely monthly, quarterly or yearly.
  - For reporting purposes, financial statements of business are normally prepared on yearly basis.

- Example:
  - The Statement of Profit or Loss of ABD Enterprise is prepared for the year ended 31 December 20xx

Cost

- Definition:
  - The concept requires that assets and services plus any resulting liabilities be taken into the accounting records at historical cost.
  - Cost is used as:
    - It is definite and determinable
    - Accountants can provide objective and verifiable data in their reports
    - Costs are measured on a cash or cash equivalents basis

Consistency

- Definition:
  - Companies should choose the most suitable accounting methods and treatments, and consistently apply them in every period.
  - Changes are permitted only when the new method is considered better and can reflect the true and fair view of the financial position of the company.

Consistency (cont.)

- Examples
  - Once a business has adopted the straight-line method for calculating the depreciation, the method should be used both within one accounting period and from one accounting period to another.
  - It should not be changed to adopt reducing balance method in other period.
  - If a company adopts weight-average method as stock valuation and should not be changed to other method e.g. first-in-first-out method

Accruals or Matching

- Definition:
  - Revenues are recognized when they are earned, irrespective of whether the money has been received or not.
  - Expenses are recognized as they are incurred, irrespective of whether the cash have been paid or not.
  - Following this, the profit for the period is determined by subtracting expenses incurred from revenues earned

Accruals or Matching (cont.)

- The objective of running a business is to earn profit. In order to ascertain the profit made by the business during a period, it is necessary that 'revenues' of the period should be matched with the cost (expenses) of the period.
- Example
  - Expenses incurred but not yet paid in current period should be treated as accrual/accrued expenses under current liabilities
  - Expenses incurred in the following period but paid for in advance should be treated as prepayment expenses under current asset

Materiality

- Definition:
  - In accounting, an amount is considered material if it has a significant effect upon the profit or the financial position of a company.
  - Immaterial amounts may be aggregated with the amounts of a similar nature or function and need not be presented separately.
  - Materiality depends on the size and nature of the item.

Materiality (cont.)

- Example
  - Small payments such as postage, stationery and cleaning expenses should not be disclosed separately. They should be grouped together as sundry expenses.
  - The cost of small-valued assets such as calculators and pencils should be written off to the profit and loss account as revenue expenditures, although they can last for more than one accounting period.

Neutrality

- Definition:
  - The concept assume that the information presented must be free from bias to be reliable.
  - Neutrality will be lost if the financial statements are prepared to influence the users to make a judgement or decision in order to achieve a predetermined outcome.

Comparability

- Definition:

- It assume that users must be able to compare the business financial statements through:
  - different times to identify trends
  - With another entity's statement to evaluate their relative financial positions, performance and changes in financial position



Thank you